

**CYBER INSURANCE APPLICATION
NOTICE TO POLICYHOLDER**

THE CYBER INSURANCE COVERAGE FOR WHICH YOU ARE APPLYING IS COMPRISED OF TWO COVERAGE COMPONENTS. SECTION I – CYBER LIABILITY COVERAGES IS WRITTEN ON A CLAIMS-MADE BASIS. SECTION II – FIRST PARTY BREACH EVENT COVERAGES PROVIDE CERTAIN FIRST PARTY COVERAGES.

THERE IS NO COVERAGE FOR CLAIMS ARISING OUT OF INCIDENTS, OCCURRENCES, OR ALLEGED WRONGFUL ACTS WHICH TAKE PLACE OR FIRST COMMENCE PRIOR TO THE RETROACTIVE DATE. ONLY CLAIMS ACTUALLY MADE AGAINST THE INSURED WHILE THE COVERAGE REMAINS IN EFFECT ARE COVERED. COVERAGE CEASES UPON TERMINATION OF COVERAGE, EXCEPT FOR THE AUTOMATIC EXTENDED REPORTING PERIOD, UNLESS YOU PURCHASE ADDITIONAL EXTENDED REPORTING PERIOD COVERAGE.

CYBER INSURANCE PROVIDES AN AUTOMATIC EXTENDED REPORTING PERIOD OF SIXTY (60) DAYS. YOU ALSO HAVE THE RIGHT TO PURCHASE A SUPPLEMENTAL EXTENDED REPORTING PERIOD OF ONE (1) YEAR, TWO (2) YEARS OR THREE (3) YEARS FOR AN ADDITIONAL PREMIUM OF 95%, 190%, OR 285%, RESPECTIVELY, OF THE ANNUAL PREMIUM IN EFFECT ON THE DATE INSURANCE WAS ISSUED OR LAST RENEWED. POTENTIAL COVERAGE GAPS MAY ARISE WHEN ANY EXTENDED REPORTING PERIOD COVERAGE ENDS.

DURING THE FIRST SEVERAL YEARS OF THE CLAIMS-MADE RELATIONSHIP, CLAIMS-MADE BASIS RATES ARE COMPARATIVELY LOWER THAN OCCURRENCE RATES, AND YOU CAN EXPECT SUBSTANTIAL ANNUAL PREMIUM INCREASES, INDEPENDENT OF OVERALL RATE LEVEL INCREASES, UNTIL THE CLAIMS-MADE RELATIONSHIP REACHES MATURITY. THE RATES FOR ANY EXTENDED REPORTING PERIOD COVERAGE WILL BE BASED ON THE RATES IN EFFECT ON THE DATE THE POLICY WAS ISSUED OR LAST RENEWED.

Throughout this Application, the words “You” and “Your” shall mean the Applicant. Please read this Application carefully and answer all questions. If a question is not applicable, answer by stating “Not Applicable” or “N/A”. All responses should include information relative to all Subsidiaries¹ and locations to be covered.

I. APPLICANT INFORMATION

Name of Applicant (Legal EntityName): _____
(as it should appear on the policy)

Principal Address: _____

City: _____ State: _____ Zip Code: _____

Contact: _____ Telephone: _____ Facsimile: _____

Email Address: _____ Website: _____

Requested effective date for this coverage (mm/dd/yyyy): _____
(coverage may not be backdated)

¹As used in this Application, “Subsidiary” means any legal entity in which you own, directly or indirectly, more than 50% of the issued or outstanding voting securities.

1. Current Preferred Mutual insured?..... ☐YES ☐NO
2. Preferred Mutual policy number (if available): _____
3. Date operations commenced under current ownership: _____
4. Description of operations: _____
5. Annual Gross Revenues: Current Year Projection: _____ Prior Year: _____
6. Do You own any Subsidiaries?..... ☐YES ☐NO
 - a. If “YES”, provide a list of Your Subsidiaries, with a description of each Subsidiary’s a) nature of operations, b) relationship to You, and c) percentage of ownership by You and Your stockholders/partners. _____

7. Is coverage requested for any entity or organization other than the Applicant and its Subsidiaries?..... ☐YES ☐NO
 - a. If “YES”, provide details of each entity or organization including a) nature of operations, b) relationship to You, and c) percentage of ownership by You and Your stockholders/partners. _____

 - b. If “YES”, do any such entities or organizations share Your computer network?..... ☐YES ☐NO
 - i. If “YES” to question to 7.b., provide details on how the entities or organizations share the Applicant’s network. _____

 - ii. If “YES” to question 7.b., do the entities and organizations share common privacy and security policies and procedures? ☐YES ☐NO
8. Does Your network have firewall protection that is securely configured?..... ☐YES ☐NO
 - a. If “NO”, provide details on how the Applicant(s) plans to implement this basic level of security control. _____

9. Does Your organization use anti-virus software on all desktops/portable devices and servers?..... ☐YES ☐NO
 - a. If “YES”, is the anti-virus software updated at least on a monthly basis?..... ☐YES ☐NO
 - b. If “NO”, to question 9.a., describe the process in place to ensure Your anti-virus software is up-to-date. _____

10. Do You enforce privacy and security policies, including mandatory employee training, which must be followed by all employees, contractors, or other individuals or organizations with access to Your network?..... ☐YES ☐NO
- a. If **“NO”**, provide details on how the Applicant(s) plans to implement this basic level of security control. _____
11. Does Your organization store personal and/or confidential data on portable devices, including laptops, cell phones, PDAs, back-up tapes, USB thumb drives and external hard drives?..... ☐YES ☐NO
- a. If **“YES”**, is such data encrypted to industry standards?..... ☐YES ☐NO
- b. If **“NO”**, to question 11.a., describe the type of devices used, the nature of the data/information stored, and the security measures You have in place to protect such data/information. _____
12. Does Your organization process, store, transmit or handle credit or debit card data?..... ☐YES ☐NO
- a. If **“YES”**, are Your data security controls compliant with the Payment Card Industry Data Security Standard (PCI DSS)?..... ☐YES ☐NO
- b. If **“NO”** to question 12.a., provide details on how the Applicant(s) plans to comply with the Payment Card Industry Data Security Standard (PCI DSS) _____
13. Does the number of records You store, either electronic or paper, exceed 50,000 records?..... ☐YES ☐NO
- a. If **“YES”**, provide the total number of records stored by the Applicant(s):_____
- b. If **“YES”**, provide details on the type(s) of information collected by the Applicant(s). _____
14. Have You or any person or entity proposed for this insurance received any complaints or claims or been the subject in litigation involving matters of privacy injury, identity theft, denial of service attacks, computer virus infections, theft of information, damage to third-party networks or Your customer’s ability to rely on Your network?..... ☐YES ☐NO
- a. If **“YES”**, provide a) date of incident, b) details of the incident or allegations made and the Applicant's response, c) the outcome/current status, d) amounts paid, including legal expenses, damages/settlements, consultation fees and fines/penalties assessed, e) steps taken to prevent a reoccurrence. _____

15. Are You or any person or organization proposed for this insurance aware of any security breaches, privacy-related events or incidents, or allegations of breach of privacy?..... ☐ YES ☐ NO

a. If “YES”, provide a) date of incident, b) details of the incident or allegations made and the Applicants response, c) the outcome/current status, d) amounts paid, including legal expenses, damages/settlements, consultation fees and fines/penalties assessed, e) steps taken to prevent a reoccurrence. _____

16. Have You or any person or organization proposed for this insurance ever been non-renewed, placed on extension, or declined for similar privacy/security liability coverage?..... ☐ YES ☐ NO

a. If “YES”, provide details as to why the Applicant was non-renewed; placed on extension or declined; date of non-renewal, extension or declination; and name of the insurance company.

II. NOTICE TO APPLICANT

The Undersigned acknowledges and understands that, with respect to question 15 above, if knowledge of any such act, error, omission, fact, circumstance, allegation, situation, event or incident exists, whether or not disclosed, any claim or action against you, or any other entity or person proposed for this insurance, arising therefrom is expressly excluded from coverage under the proposed insurance.

III. REPRESENTATIONS AND ACKNOWLEDGEMENTS

- A. The Undersigned represents that the statements, representations and information contained in or attached to this Application are true and complete, and that reasonable efforts have been made to obtain sufficient information to facilitate the proper and accurate completion of this Application.
- B. The Undersigned acknowledges and recognizes that the statements, representations, and information contained in or attached to this Application are material to the risk assumed by the insurer; that any policy will have been issued in reliance upon the truth thereof; and that this Application and all written statements and materials furnished to the Insurer in conjunction with this Application shall be deemed incorporated into and made a part of the policy, should a policy be issued.
- C. The Undersigned acknowledges and agrees that if the information supplied on this Application or in any attachments changes between the date of the Application and the inception date of the policy period, the Applicant will immediately notify the insurer of such change, and the insurer may withdraw or modify any outstanding quotations or agreement to bind the insurance.

Signed: _____
Authorized signature of the President, CEO or COO of the Applicant.
Must be signed and dated no more than 60 days prior to binding coverage.

Date: _____

Print Name: _____

Title: _____